However, going forward, individuals and companies who deposited significant amount of cash during demonetization will probably have to declare similar levels of cash receipts and income in the future, as they are now on the radar of the tax authorities. One hopes that this leads to higher direct tax receipts in the future, yielding at least some future benefits from a hugely expensive and destructive demonetization exercise.

To Integrate the Informal Economy into the Formal Sector and Create a 'Larger and Cleaner' GDP[37]

By using the word 'cleaner' in this objective, the Finance Minister, perhaps inadvertently, seemed to insinuate that the informal sector was 'dirty' or undesirable.

Perhaps he held this view because those working in the informal sector don't pay tax, ignoring the basic fact that millions of people working in the informal sector are not in the taxable bracket and, therefore, do not have to pay tax in the first place.

His statement also indicates a fundamental misunderstanding of the Indian economy. It portrays the informal and formal sectors as being clearly distinct and unrelated, when in fact they are closely integrated. The informal sector and people working in it are an integral part of the supply chain providing goods and services to those paying tax in the formal sector. They are also consumers of goods and services provided by the formal sector.

For example, consider a 'pakoda seller'.[38] He buys provisions from a grocery store, uses a gas cylinder, and sells fresh pakodas to office-goers who pass his stall every day. While he himself operates in the informal economy without any job security, he is buying provisions and gas from agencies in the formal economy (and presumably paying GST on these) and selling to customers, several of whom could be salaried employees within the formal economy.